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Hykon India Ltd

Company Policy

PART B- DEPARTMENT POLICIES

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PART B: Department Policies

1. HR Function (HR & Admin Policy)

1.1. Purpose:

This policy defines the role and responsibilities of the HR Function at Hykon

1.2. Scope:

Applicable to all units of Hykon India Ltd.

1.3. Structure:

- ♣ The Unit Head manages day-to-day HR activities at each unit.
- ♣ Corporate HR frames policies and guidelines in consultation with Unit HR.
- ♣ Units may seek support from Corporate HR when required

1.4. Role of HR & Admin Department

1.4.1. HR Management & Development

- ♣ HR policy formulation and implementation
- ♣ Recruitment & induction (Staff & Operators)
- ♣ Manpower planning
- ♣ Performance appraisal
- ♣ Training & development
- ♣ Competency mapping and improvement
- ♣ Career planning & job rotation
- ♣ Mentoring and employee engagement
- ♣ Reward & recognition
- ♣ Employee retention strategies
- ♣ Exit interviews (analysis & action plan)
- ♣ Emotional support and team building
- ♣ Work culture development

1.4.2. Employee Administration

- ♣ Personal files management
- ♣ Payroll (except CPR)
- ♣ Time office management
- ♣ Employee separation process
- ♣ Welfare schemes (loans, advances, vehicle loan, etc.)
- ♣ Car, laptop & mobile administration
- ♣ Uniform management
- ♣ Insurance (Mediclaim & Accident)

1.4.3. Statutory & Legal Compliance

- ♣ PF, ESI, Factory Act, Pollution, Fire, Electricity, Contract Labour, Employment Exchange, etc.
- ♣ Labour cases
- ♣ Standing Orders formulation & approval
- ♣ Liaison with Government authorities

1.4.4. Engagement & Culture Activities

- ♣ Suggestion Scheme / 5S Awards
- ♣ Annual Day celebrations
- ♣ Get-togethers, Unit Address, Birthday celebrations

1.5. Branch Level – Administration

1.5.1. Registers to be Maintained

The following records must be maintained at branch level:

- ♣ Inward & Outward Register
- ♣ Attendance Register
- ♣ Wage Register, Wage Slips, Holiday Register & Employee Service Records
- ♣ Fixed Asset Register

(Physical registers are not required where electronic records are maintained.)

1.5.2. Duplicate Keys & Petty Cash

- ♣ Duplicate keys (office, safes, cupboards, tables) must be sent to Head Office (HO).
- ♣ Petty cash must be kept securely under the custody of the EA/Executive Committee.
- ♣ Physical cash must be tallied with the cash book regularly.
- ♣ Any discrepancy will be viewed seriously, and the EA/Exe Com. will be held responsible.

1.5.3. Circular Files

- ♣ All circulars issued from HO by email must be saved in a folder titled "Circular File."
- ♣ Circulars applicable to all employees may be shared in the Hykon Family WhatsApp Group.

1.6. Internship Policy

This policy applies to all Hykon units and provides guidelines for engaging students for Internships, Projects, and Industrial Visits.

1.6.1. Guidelines

- Students must submit a bona fide letter from their college, signed by the Principal or HOD.
- Project title must be proposed by the student and approved by the concerned Hykon HOD.
- A training/project schedule must be prepared after approval.
- Certificate will be issued only after successful completion of the internship/project.
- Students must submit one copy of the completed project.
- HODs should ensure productive utilization of interns.
- Internship should benefit both the student and Hykon.
- Prescribed internship fees must be collected by HR and deposited with Accounts. Receipt must be issued to the student.

1.6.2. Sales & Marketing Interns

May be assigned to:

- Market research and analysis
- Sales presentations and marketing plans
- Promotional activities
- Competitive analysis
- Advertising campaigns and media planning

1.6.3. HR Interns

- May assist in:
- New hire documentation
- Job postings and recruitment screening
- Safety communication
- Training calendar preparation
- Other HR support activities

1.6.4. Internship Fee Details

Stream of Study	Course name	For 15 days	For 30 days
Engineering stream	B.Tech	Rs.2500.00	Rs.5000.00
	M.Tech	Rs.5000.00	Rs.10000.00
	Diploma	Rs.1000.00	Rs.2000.00
Management / Arts Stream	B.Com / BBA	Rs.1500	Rs.2000
	MBA / M.Com	Rs.2000	Rs.3000

For all streams	Mini Projects	Rs.5000.00
	Major Projects	Rs.3000.00
Industrial Visits	Rs.3000 for a Batch of 60 students accompanied by 2 to 3 faculty	
	Note: More than 2 Industrial Visits are not permitted in month.	

Note: The fee may be waived if an intern renders service for more than 45 days.

1.7. 5S Concept (6S)

- ♣ The 5S system must be implemented at Head Office and all Branches.
- ♣ 5S audit will be conducted monthly at each Branch/Zone.
- ♣ Audit marks must be submitted to HR on or before the 25th of every month.

1.8. Suggestions

All employees are encouraged to give suggestions for company growth.

- ♣ Target: Minimum 3 suggestions per Department/Zone/Branch per month.
- ♣ Suggestions can be submitted via:
  - Google Form (official link)
  - Email to: jobs@hykonindia.com

1.8.1. Process

- ♣ HR will share suggestions with concerned departments weekly.

- ♣ HODs/Team Leaders must:
  - Implement feasible suggestions, or
  - Escalate with comments if beyond their authority.
- ♣ Status report must be submitted to HR by month-end.
- ♣ Once implemented, the employee must be informed.
- ♣ All approved suggestions must mention estimated savings (money or time) per month/year.

1.8.2. Implementation Authority

- ♣ Team Leader – Up to ₹3,000
- ♣ Department Head – Up to ₹10,000
- ♣ Unit Head – Up to ₹25,000
- ♣ Above ₹25,000 – Approval required from Core Group/CMD

Best suggestions will be recognized monthly at Unit/HO meetings.

1.8.3. Cash Award for Best Suggestion

The cash award is fixed based on the amount saved per year after the implementation of the suggestion:

Saved amount per month/ one time	Price Amount
Rs. 5,000/- to Rs. 20,000	Rs. 1000/-
> Rs. 20,001/- to Rs. 30,000/-	Rs. 2000/-
> Rs. 30,001/- and above	Rs. 5000/-

1.9. Privacy

- This HR Manual is confidential and for internal use only. It contains Hykon's policies, procedures, rules, and commitments.
- Reproduction, reuse, or sharing of this manual with any other organization without permission is strictly prohibited and considered unethical.
- All employees must comply with the company's privacy policies. Collection, storage, and handling of employee personal information will be done in accordance with applicable Indian laws.
- **Note:** For any clarification regarding this HR Manual, employees may contact internal management for guidance and support.

2. Finance & Accounts

2.1. Collection

- Outstanding statements will be sent by Accounts on 10th, 20th,& 31st of every month to Segment Heads.
- Sales/Service staff must provide party name and bill details while submitting collections.
- Cash collections must be acknowledged with a receipt from Accounts/Executive Assistant.

- While depositing cheques, details (cheque no., customer name, bill reference) must be recorded on the counterfoil.
- Direct bank collections must be reconciled daily with invoices by Accounts/Executive Assistant.

2.2. Payments

- Payments require approval from the authorized sanctioning authority.
- All payments must have proper supporting documents and receiver's signature.
- ERP entries and vouchers must include proper narration.
- Cash payments above ₹9,000 are not permitted.
- TDS must be deducted as per statutory rules.
- Supplier invoices must be verified against PO/contract terms.
- Unreconciled items must be resolved promptly.
- All payments (including non-vendor payments) must be properly tracked
- The petty cash limit can kept at various units as

Location/Unit	Limit Amount
Ollur Godown, Production units, Head Office	5000/-
All other branch offices	2500/-

  - ✓ The cash amount, above the limit, should be deposited in the bank on daily basis.
  - ✓ Variation in the physical cash should be reported to FM/AGM Finance.

2.3. Documents for accounts

- Copies of sales invoices, vouchers, purchase bills, debit/credit notes, service bills, and telephone bills must be sent to HO weekly.
- Monthly physical stock statement (Systems) must be sent to HO by the 2nd working day of the month.
- Bank statement (up to 20th) must be sent on the 20th, and month-end balance by the 2nd of the following month.
- Attendance must be updated in ERP daily.

2.4. Cheque return

- Cheque returns must be informed immediately to the concerned Segment Team by the Executive Assistant.
- If payment is not cleared within one week, the cheque must be forwarded to Executive Credit for further action.
- No further sales should be made to that customer until dues are cleared.

2.5. TDS Certificate / EMD/Security deposit

- A separate register must be maintained by the Executive Assistant in the prescribed format.
- Timely follow-up is required for collection.
- Customer details, Tender Number, and due date must be properly recorded in Tally

2.6. Purchase/Expenditure Approval Policy

2.6.1. Objective

To establish a clear financial authority structure for purchase, expenditure, budget control and payment approvals in order to ensure:

- Financial discipline
- Defined accountability
- Prevention of unauthorized spending
- Audit compliance
- Protection of company cash flow

This policy applies to all departments of Hykon India Ltd.

2.6.2. General Control Principles

a) All expenditures must be within the approved annual budget unless otherwise specifically authorized.
b) No cash payment exceeding ₹10,000 shall be permitted under any circumstances.
c) All purchases above ₹10,000 must be supported by an approved Purchase Order (PO) or Service Order.
d) All approvals must be documented through ERP or official email trail.
e) Any deviation from this approval structure shall be treated as a control violation and may be subject to internal audit observation.
f) No payment shall be processed unless approval is obtained as per this policy.

2.6.3. Expenses Approval Matrix

Sl.No.	Item	Approving Authority	Proposed Limit
1	Sanction for purchase of Raw materials /PM /spares Sale of scrap	Purchase Manager	Value up to ₹ 1 Lakh
		AGM/ DGM Purchase	Above ₹1 lakh to ₹2 lakhs
		GM SCM, AGM/ DGM Purchase	Above ₹2 Lakh to ₹**10** Lakhs
		GM SCM, EVP	Above ₹10 Lakh to ₹25 Lakhs
		EVP, Finance Head, ED (Intimation to CMD)	Above 25 lakhs
		GM SCM, CMD (Intimation to ED)	All Import Purchases
2	Procurement of Capital items, including software	GM SCM / EVP	Value up to ₹ 2 lakh
		Finance Head, ED, CMD	Above ₹2 lakh
3	Repair of vehicles, machinery, building, roads, utensils and other repairs of civil work in nature	Concerned HOD, Unit head	Expenditure upto ₹10000
		HOD, Finance Head	Above ₹ 10000 to ₹50000
		Finance Head, ED	Above ₹ 50000
4	Software Maintenance Charges	IT Head, Finance Head	Expenses upto ₹ 50,000
		Finance Head, ED/ CMD	All Expenditure/ Payments above 50000

5	Kindness of any nature	Accountant/ Acc. manager,	Expenditure upto ₹1000
		Finance Manager	Above ₹1000 upto ₹10000
		Finance Head, ED	Above ₹10000
6	Commission/ Incentive/ discount to dealers/ distributors/ others	As per the Incentive policy verified by the concerned HOD, Finance Head and ED	As per the Incentive Policy
7	Writing off of Bad debts	Concerned HOD, Finance Head, ED / CMD	All Write off
8	Payment for professional or consultancy services	Finance Head, ED	Expenditure Up to ₹25000
		ED/ CMD	Expenditure Exceeding ₹25000
9	Payment of Interest, Late Fee, Penalty	Finance Head & ED	Up to ₹ 10000
		ED/CMD	Above ₹ 10000
10	Sanction of bills of transportation	Concerned HOD	If such cost is up to 3% of the material value in Kerala and up to 4% of the material value outside Kerala
		Finance Head, ED	If such cost is more than 3% of material value in Kerala and more than 4% of material value outside Kerala
11	Sanction of Branch-level Courier/ Parcel/ Local Auto Transportation Loading & Unloading	Manager	Up to ₹2000
		Concerned HOD	Up to ₹5000/-
		GM SCM / EVP	Above ₹5000/-
12	Payment of telephone & Internet bills	If Expenditure within the budgeted amount – Unit Head & HR Head	As per the Mobile Policy
		If Expenditure beyond the budget amount -Finance head, ED	
13	Sanction of TA/ Outstation bills	Concerned HOD, HR Head if above L7 - ED	As per TA Policy
14	Sanction for any Agri-Expenses (Hykon Farm)	CMD	All Expenditure/ Payments
15	Sanction of Loading & Unloading charges	Concerned HOD, GM SCM	As per the standard rate approved by the management
16	TA Advance	Concerned HOD, HR Head	As per HR Policy
17	Tender fees / EMD approval	Tender Manager, EVP	Tender fee up to ₹ 25000/- and EMD up to ₹1Lakh
		Finance head, ED	EMD up to ₹ 5Lakhs
		CMD	Tender fee & EMD > ₹5L

3. Supply Chain Department Policy

3.1. Purchase Policy

3.1.1. Dept Function

- Purchases must be made only from approved suppliers.
- Suppliers must have valid GST registration.
- Approved price lists must be maintained, and any price changes must be formally communicated by the Purchase Department.

3.1.2. Type of Purchases

Types of Purchase include:
Assets, Raw Materials, Finished Goods (Trading), Stationery, etc.

3.1.3. Standard Procedure for Purchase Department

3.1.4.1 Purchase Indent

- ♣ Purchase request must be initiated by Stores through POM1030.
- ♣ Indent must include quantity, specification, and required date.
- ♣ Proper approval is mandatory.

3.1.4.2 Quotation

- ♣ Purchase Executive invites quotations from one or more vendors as per company norms.
- ♣ Alternate source should be identified wherever possible.
- ♣ In emergencies, telephonic/verbal inquiries may be made.
- ♣ Vendors must respond within the stipulated time

3.1.4.3 Comparison:

Quotations are compared based on:

- ♣ Price
- ♣ Quality
- ♣ Delivery time
- ♣ Payment terms
- ♣ Warranty
- ♣ After-sales service

3.1.4.4 Negotiation

- ♣ Vendors may be called for clarification and finalization of terms.
- ♣ For purchases above ₹3 lakhs, a Purchase Committee is mandatory.
  Committee Members:
- ♣ Purchase Head
- ♣ Finance Head
- ♣ User Department (for technical clarification)
- ♣ ED

3.1.4.5 Purchase Order

- ♣ Purchase Order must be generated through POM1060.
- ♣ Approval must be obtained as per hierarchy (WFC0057).
- ♣ PO must clearly mention agreed terms and be formally sent to the supplier

3.1.4.6 PO Approval Structure

PO Value without GST (₹)	1st level approval	2nd Level Approval	3rd Level Approval	4th Level Approval	Intimation
Up to 1,00,000	Manager Purchase				
1,00,001 - 2,00,000	Manager Purchase	AGM Purchase			
2,00,001- 10,00,000	Manager Purchase	AGM Purchase	GM -SCM		
10,00,001- 25,00,000	GM -SCM	Fin- head	EVP		ED/CMD
Above 25,00,000	GM -SCM	Fin -head	EVP	ED	CMD
All Import Purchase	GM SCM			CMD	ED

3.1.4. Purchase Order – Details needed

All Purchase Orders must be generated through **POM1060** and include the following details:

27.1.4.1 Supplier Details

- Correct billing address, phone number, and email ID.
- GST registration number (if applicable).

27.1.4.2 Item & Pricing Details

- Proper item code as per product list.
- Detailed product description including Make/Brand.
- Applicable tax rate clearly mentioned.
- Transportation terms (whether included or extra).
- Warranty period and any freebies.
- Any change from standard warranty must be clearly specified.
- If there are overdue payments or cheque returns, it must be noted in the order.

27.1.4.3 Delivery Terms

- Delivery time is mandatory and must be strictly followed.
- If the supplier fails to deliver on time, Hykon may:
- Cancel the order and recover losses, or
- Purchase from another source and recover price difference and damages from the supplier.

27.1.4.4 GST Compliance

- Supplier must issue a GST-compliant invoice.
- Supplier must comply with all GST regulations to ensure Hykon's input tax credit is not affected.
- Non-compliance will be treated as breach of agreement.

3.1.5. Confidentiality

- Both parties must maintain strict confidentiality of all technical and commercial information.
- Information should be shared only with authorized personnel on a need-to-know basis.
- No personal data will be shared with the supplier under the PO.

3.1.6. Packing & Transportation

- Goods must be properly packed for safe transport (road/rail/air/water).
- For hazardous goods, packing and transport plan must be approved before dispatch.

3.1.7. Product Quality & Warranty

- Goods/services must be of approved quality, standard workmanship, and fit for intended purpose.
- Products must match agreed specifications and/or approved samples.
- If defects are found before delivery or during the warranty/guarantee period, the supplier must repair, replace, or re-perform the service at their own cost, as decided by Hykon.

3.1.8. AMENDMENT:

- Purchase Orders may be amended in exceptional circumstances beyond the vendor's control.
- Any amendment must be approved by the same authority that approved the original Purchase Order.

3.1.9. Purchase order Follow up:

After issuing the PO, the Purchase Executive must track the order to ensure timely delivery at the correct location

3.1.10. Receipt of material:

- Materials are delivered to Stores by the vendor.
- Stores must inspect and acknowledge receipt.
- Receipt confirmation enables Accounts to process payment.
- A copy of the vendor invoice should be sent to the vendor after acknowledgement.

3.1.11. Payments:

- Purchase Executive must ensure vendor payments are made as per agreed terms and conditions.

3.1.12. Vendor payable policy:

- Vendor payments will be released on the 10th and 25th of every month.

3.1.13. Special purchasing systems

- The following purchasing methods may be used with approval from **SCM Head and Finance Head**, based on requirement:
  - ♣ **Forward Buying** – Annual rate agreement for raw materials at fixed price (used in volatile markets).
  - ♣ **Tender Buying –** Competitive bidding process; contract awarded to lowest eligible bidder (common in Govt./public sector).
  - ♣ **Blanket Order –** Long-term order to reduce administrative work; supplier maintains required inventory.
  - ♣ **Rate Contract** – Agreed rate for a fixed period; supply as per buyer's requirement.

- **Notes:**
  - 📌 If materials are directly dispatched to customers on branch advice:
  - 📌 Delivery challan and legal documents go to customer.
  - 📌 Stock transfer note and document copies must be sent to the branch.
  - 📌 Emergency cash purchases from non-approved vendors require HIPU approval via email.
  - 📌 For major purchases (e.g., Batteries, Systems), concerned branch/office staff must submit required forms (as per prescribed format).

3.1.14. Vendor Registration/ Appraisal Form

Product/ raw material Approval Form

- Vendors must submit a **detailed quotation** including price, quantity, delivery terms, packing & transportation, taxes, and other commercial terms.
- HIPU will issue the Purchase Order directly to the vendor, and materials will be delivered to the specified location.
- On receipt of materials, the concerned person must verify the items and forward the acknowledged invoice to the Purchase Department**.**
- The Purchase Department will verify prices and approve the invoice before forwarding it to Accounts for payment.
- Excess materials at any location must be returned through IOM, clearly mentioning:
  - ♣ Serial number
  - ♣ Name & department
  - ♣ Quantity
  - ♣ Reason for return
  - ♣ Remarks & signature
- ERP stock report must be physically verified every month, and the stock verification statement must be sent to Accounts (copy to Purchase).
- For buy-back transactions at branches/offices, a sale letter with value from the concerned party must be collected and sent along with the goods.

3.2. Corporate Purchase Committee - Standard Operating Procedure

3.2.1. Scope:

The Corporate Purchase Committee oversees the;

- ♣ Purchase of Raw Materials
- ♣ Purchase of Finished Goods

- ♣ Purchase of all other items (packing materials, printed stationery, office supplies, computers, printers, etc.)
- ♣ Overall control of Purchase and Supply Chain (SCM) activities

3.2.2. Objective:

To define the complete procurement process — from purchase indent to material receipt and final payment, including commercial terms and payment conditions

3.2.3. Responsibility:

The major responsibility of Purchase committee are as follows

- ♣ Controlling purchase costs
- ♣ Conducting multi-level negotiations for A-Class items and high-volume purchases
- ♣ Monitoring and controlling stock levels
- ♣ Ensuring minimum stock levels are maintained
- ♣ Controlling transportation costs
- ♣ Supporting product costing
- ♣ Vendor approval and classification (as per ISO Work Instructions)
- ♣ Identification and development of new vendors (as per ISO Work Instructions)

3.2.4. Purchase committee: members

The purchase committee consists of the following Members

1. Executive Director
2. Head of Supply Chain Management.
3. Finance Head
4. Manager – R&D
5. Purchase Manager/Asst. Mgr

3.2.5. Meetings:

- The Purchase Committee shall meet twice every month.
- Supply Chain Management (SCM) activities must be reviewed regularly.

3.3. Normal Purchase, Emergency and Volume Purchases:

3.3.1. Normal Purchase

- Generated based on monthly MRP.
- Purchase Department floats RFQ and releases PO to the most suitable vendor based on commercial terms and lead time (as per Purchase WI).

3.3.2. Emergency / Express Purchase

- Requires Purchase Committee approval.
- May bypass multi-quotation process.
- Written justification is mandatory in the Purchase Requisition.

3.3.3. Volume Purchase

- Requires multi-level negotiation (technical, financial, commercial).
- Must be approved by Purchase Committee before execution.

3.4. Costing:

Material pricing must be based on a scientific costing method, considering:

- Technical specifications
- Material cost
- Labour
- Overheads
- Availability
- Other relevant factors

This forms the basis for preparing the comparative statement.

3.5. Request for Quotation (RFQ):

- RFQ must be sent via email to minimum three external providers, along with drawings/specifications.
- For RM/BOM items, vendors must be selected from the approved vendor list.

3.5.1. Comparison of Quotations:

- Prepare a detailed comparative statement based on **landed cost**, including:
    - ♣ Price breakup
    - ♣ Payment terms
    - ♣ Delivery time
    - ♣ Freight
- Price breakup forms the basis for further negotiation.
- For Trading/Finished Goods, technical compliance and certifications must also be verified.

3.6. Negotiation Strategy:

Prices for **standard items** must be negotiated once every **3 months** or as per Purchase Work Instructions (WI).

3.6.1. Negotiation Levels (Based on Purchase Value)

Purchase Value	1st Level	2nd Level	3rd Level
Up to ₹1 Lakh	Purchase Executive / Officer / Engineer	Manager – Purchase	—
₹1–3 Lakhs	Purchase Executive / Officer / Engineer	AGM – Purchase	—
₹3–10 Lakhs	AGM – Purchase	GM – SCM	—
Above ₹10 Lakhs	AGM – Purchase	GM – SCM	Finance Head, EVP, ED

3.6.2. Volume Purchases (Above ₹1,00,000 Invoice Value)

- A checklist must be prepared covering all commercial, technical and contractual terms.
- Negotiation must be conducted in three levels:
    1) Purchase Department / Executive

2) Head – Supply Chain Management
3) Purchase Committee (minimum 3 members including Finance Head)

- Before 3rd level negotiation:
  - ♣ Previous negotiation details and all quotations must be reviewed.
  - ♣ Technical compliance must be confirmed.
  - ♣ Finance Head must verify financial terms and conditions.
  - ♣ Final negotiated rate must be approved by all Purchase Committee members.

3.6.3. Capital Goods / Machinery / Major Assets

- Approval from **Core Group / Board of Directors** is mandatory as per company policy

3.7. Visits- Vendors:

- The Purchase Committee shall conduct regular meetings with vendors at Hykon premises.
- Committee members shall also visit vendor offices/units periodically for negotiation, inspection, and performance review, in coordination with concerned HODs.

3.8. ABC Analysis

Inventory shall be classified as:

- **A Items** – High-value / fast-moving items requiring strict control.
- **B Items** – Moderate value and movement; controlled regularly.
- **C Items** – Low-value / slow-moving items; require basic control.

ABC analysis helps:

- Reduce working capital blockage
- Avoid overstocking and obsolete inventory
- Improve inventory turnover
- Plan reorder frequency effectively

3.9. Batch Tracking

All materials must be tracked using **batch/lot numbers**.
Batch tracking enables:

- Traceability from raw material to finished goods
- Tracking of dispatch details (quantity, destination, date)
- Monitoring of expiry dates (if applicable)
- This ensures quality control and supply chain transparency.

3.10. Minimum Order Quantity (MOQ)

MOQ is the minimum quantity a supplier is willing to sell.If the MOQ is not met, the supplier may refuse the order.
MOQs help suppliers:

- Cover inventory and operational costs
- Maintain profitability and cash flow
- Move inventory faster

Purchase decisions must consider MOQ impact on stock levels and working capital.

3.11. Inward Supply (Purchase)

- All system inward supplies require Purchase Department approval.
- All spares and stationery above ₹1,000 require Purchase approval.
- All inward supply bills must be verified by the Purchase Head before forwarding to Accounts.
- Any other office inward supply above ₹500 requires Administration approval

3.12. Supplier/vendor Invoice

Supplier bills must:

- Be submitted in **triplicate**
- Include GST registration number
- Mention:
  - ✓ Material description
  - ✓ Quantity
  - ✓ Purchase Order number
  - ✓ Supplier code
  - ✓ Challan number & date
  - ✓ GRN number & date
  - ✓ Gate pass / excise details (if applicable)
  - ✓ Value of goods
- Be supported with the required documents as per PO
- Include supplier challan duly acknowledged by consignee
- Challan must mention PO number, gate pass number, date, and value (where applicable)

Incomplete or incorrect invoices may delay payment.

3.13. Inventory

3.13.1. Standard Procedures

- All inventory-related documents must be acknowledged and recorded by the Store In-Charge.
- A proper stock register must be maintained.
- If no manual register exists, daily closing stock from ERP must be maintained.
- Item heads must be standardized across all branches.
  - Approved item list will be issued by the Purchase Department
- No receipt or issue of systems shall be entered in ERP without Storekeeper acknowledgement.
- Storekeeper must maintain a file of goods delivery acknowledgements.
- Monthly physical stock verification must be conducted at month-end and the report sent to Accounts.

3.13.2. Mandatory Fields in Customer's GST invoice

All invoices must be generated through **ERP (SOM1087)** and contain accurate details.
Mandatory details include:

- Invoice number & date
- Customer name

- Billing & shipping address
- Customer GSTIN
- Place of supply
- HSN code
- Customer contact number
- Customer tax registration number
- Purchase order number
- Executive name
- Payment terms
- Mode of delivery
- Delivery challan number
- Serial numbers of systems & batteries
- GST concession form details (if applicable)

All fields must be accurate for legal compliance and future reference.

3.13.3. Delivery of Goods

- At delivery, provide Customer Copy and Transporter Copy of Invoice.
- For every ERP invoice, generate a GST E-Invoice.
- An E-Way Bill is mandatory if:
  - ♣ Invoice value exceeds ₹50,000, or
  - ♣ Multiple invoices to the same GST number exceed ₹50,000 and are transported in the same vehicle.
- Before dispatch, the Logistics Officer must ensure the vehicle carries:
  - ♣ ERP Invoice
  - ♣ E-Invoice
  - ♣ E-Way Bill
- If the vehicle route changes, the E-Way Bill must be updated.
- Obtain customer's signature with seal on the Transporter Copy and return it to the concerned executive.
- No goods shall be delivered without an invoice or Sales Tax Delivery Note.
- For deliveries through outside transporters, attach acknowledged transport documents to the office copy.
- For interstate stock transfer, sales, or sales returns, file proof of transport (LR or check-post sealed document) with the Accounts copy.

3.13.4. Outward Supply (Sales Return)

- Sales return is allowed only with valid reason, HOD approval, and a signed Sales Return Requisition Form.
- Sales returns must be processed within 3 months to avoid GST loss.
- If return is after 3 months without valid reason, the tax loss will be borne by the concerned executive.
- The concerned executive is responsible for the condition of returned goods.
- A Debit Note must be collected from the customer (GST Debit Note if registered).
- A Credit Note must be issued to the customer

3.13.5. Control on Transportation

- All transport costs must be verified by Stores & Logistics Head.
- Inward and outward transport must be monitored and controlled.
- For bulk transport, formal agreements with couriers/transporters must be approved by the Purchase Committee.

Agreements for outside vehicles must also be vetted by the Committee.

3.13.6. Insurance:

- All stores must be insured; policy copies must be kept at each location.
- Insurance policies must be renewed on time and premiums paid promptly.
- Transit insurance must be verified for all shipments.
- Insurance for company-owned vehicles must be valid and renewed on time.

3.13.7. Loading & Unloading

A standard rate for Loading and Unloading of Systems and Batteries, which is to be discussed with the respective unions at sites – viz – Factories, Godowns and fixed.

The Payment should be made as per the approved list based on the weight of the products.

3.13.8. Physical Stock

- **Monthly Stock (Systems):**
  - ✓ Physical stock of systems must be taken at month-end by Stores In-Charge.
  - ✓ Statement must be submitted to Executive Assistant / Accounts on 1st of every month.
  - ✓ Accounts must forward the report to FM with details of any stock variation.

- **Year-End Stock (Spares & Stationery):**
  - ✓ Physical stock must be taken at the end of the financial year.
  - ✓ Valued statement must be submitted before 5th April of the next financial year.

- **Year-End Stock (Systems):**
  - ✓ Physical stock of systems must be conducted under supervision of Branch In-Charge / Purchase / Accounts.

- **Monthly Reporting by Stores:**
  - ✓ Details of systems used as standby.
  - ✓ Systems lying with customers for more than 15 days.

- **Reports to Finance Head (1st Working Day of Each Month):**
  - ✓ Age-wise stock report
  - ✓ List of non-salable systems
  - ✓ Report on systems replaced under warranty from stock

3.14. Transportation Policy

3.14.1. Vehicle Scheduling

- Weekly vehicle schedules to branches must be planned based on confirmed orders.
- Schedule must be informed to branches and concerned departments to arrange materials.
- Any additional trip outside the schedule requires approval from the Stores Officer.

3.14.2. Materials for dispatching

- Stores will provide dispatch details along with required documents to the Transport/Logistics Officer.
- Logistics Officer must arrange a suitable vehicle based on volume.
- After invoicing and dispatch, details must be updated in Google Drive for tracking delivery and installation.

3.14.3. Vehicle Scheduling

- Company vehicles must be used whenever available.
- If not available, outside vehicles may be arranged with Stores Officer approval.
- Approval from Finance Head is required if the transport cost exceeds:
  - ♣ 3% of material value (within Kerala)
  - ♣ 4% of material value (outside Kerala)
- For trips scheduled during weekends or after office hours, Security must be informed

3.14.4. Arranging Outside Vehicles

- Outside vehicles must be selected only from the approved **vendor list** with agreed terms (rates, payment terms, availability, number of trips).

3.14.5. Third Party Transporter

- Hykon may appoint third-party transporters through a mutually signed agreement.
- The agreement must clearly define:
  - Transportation charges (region-wise)
  - Loading/unloading charges
  - Delivery & installation terms and Payment terms
- Third-party transporter must have a minimum of 3 technicians, trained and certified by Hykon (approved by the Service Department).
- Only contractors with a valid PAN number shall be approved.
- Approved transporter list will be maintained by Logistics.
- Final approval will be by the Manager (Materials) and the Finance Department.

3.14.6. Vehicle Inspection – own vehicle

- Logistics Officer must ensure:
  - All vehicle documents are valid
  - Insurance is active
  - Timely servicing is done

  - Log book is maintained
  - Fuel consumption matches standards
- Starting and ending kilometer readings must be recorded for all trips (own and hired vehicles).
- Ensure insurance coverage for goods in transit of the trip for both outside and own vehicle. Ensure insurance cover for the goods dispatched.

3.14.7. Payment settlement

- **Advances & Fuel**
  - Running advance may be given to drivers of own vehicles only.
  - No advance for outside vehicles.
  - Fuel expense for own vehicles must be through **petrol card** (balance to be monitored by Logistics Officer).
- **After Trip Completion**
  Drivers must submit the following documents immediately after trip completion.
    - Trip sheet
    - Date, route (from–to)
    - Departure/arrival time
    - Initial & final KM reading
    - KM run
    - Bill details & customer name
    - All supporting expense documents
- **Verification & Approval**
  - Logistics Officer verifies KM run, rates, expenses, and total bill.
  - Forward to Stores Head for approval.
  - Bills must be submitted by drivers before 5th and 20th of every month:
    - ✓ Bills submitted by 5th → Paid on 15th
    - ✓ Bills submitted 6th–20th → Paid on 30th
  - Bills must be verified within 3 days by Logistics Officer and re-verified by Stores Head.
  - Bills must be forwarded to HO within next 3 days by Hykon staff only (no outsiders allowed).
  - Accounts will review and verify accuracy.
  - No advance payment to outside drivers.
- **Mode of Payment**
  - Bills below ₹5,000 → Cash payment allowed.
  - Bills above ₹5,000 → Payment by cheque/online transfer with Finance Head approval.

3.14.8. Procedure for Transporting Systems & Battery

- **Documents Required for Dispatch**
  - Finished goods (UPS, Batteries, etc.) sent from Branch Office must be accompanied by:
    - ✓ Stock Transfer Note (HIST/F02) or
    - ✓ Delivery Challan

- Reason for return/transfer must be clearly mentioned in the STN or Delivery Challan.
- For dispatch from offices other than Branch Offices:
  - ✓ Prepare a Declaration Letter on Hykon letterhead or Delivery Challan (as per Annexure format).
- The same format must be used when collecting materials directly from customer site.
- If customers are instructed to return systems/batteries through a company vehicle, they must provide a letter in the prescribed format along with the goods.

- **Service Documents**
  - A Service Report (HISV/F02/A) must be attached when sending complaint systems/batteries.
  - The report must contain accurate observed data and be written clearly for reference by HO service engineers.

- **Mandatory Transport Documents**
  - Drivers must NOT carry any items without one of the following documents
    - ✓ Invoice (HIMK/F15/B)
    - ✓ Stock Transfer Note (HIST/F02)
    - ✓ Delivery Challan
    - ✓ Declaration Letter (as per format)
    - ✓ E-Way Bill (mandatory if value exceeds ₹50,000 or multiple invoices to same GST number exceed ₹50,000 in one vehicle)
    - ✓ E-Invoice (mandatory for all GST invoices)

- **Important**
  - Service Report and Delivery Challan (HIST/F03) are internal documents only and are not statutory documents.
  - Therefore, a Declaration Letter or Delivery Challan is mandatory along with internal documents.

- **Log Book**
  - Vehicles arriving from HO to branches must have kilometer reading recorded by Branch In-Charge / EA at reporting time.
  - Vehicle utilization at branch level must be recorded separately.
  - All movements of company vehicles must be entered in the vehicle log book by the driver.
  - Executive – Purchase shall periodically verify log entries and monitor transport movement.
  - Vehicle repair and maintenance bills must be verified by Manager – Stores and approved by Finance Head.

3.14.9. SOP for Replacement of Missing/Damaged Materials during Transit

27.14.9.1 Preventive Measures

- Materials must be loaded carefully.
- Goods must be placed based on weight and damage risk.

- Drivers must be instructed to handle materials properly (no climbing on goods).
- Proper packing and support must be ensured during loading and roping.

27.14.9.2 At the Time of Delivery

- The driver must ask the customer/dealer to check the goods at delivery.
- Driver must obtain written acknowledgement: “All goods received in good condition.”
- If any item is missing/damaged, the customer must mention it on the invoice acknowledgement and inform Stores via email/WhatsApp.
- Damage verification must be done at delivery itself.

27.14.9.3 Responsibility & Replacement

- Manager – Stores shall investigate and arrange replacement.
- Missing/damaged items must be dispatched in the next vehicle on the same route or within 7 days.
- Hykon is not responsible for damages occurring during dealer/distributor transit.

3.15. Printing & Stationery

- All printing must be done centrally by HO based on branch request.
- Branches are not authorized to print any material without written approval from HO.
- ISO formats must be verified with the Quality Manual / Work Instructions, and final approval will be given by Executive – Purchase in consultation with concerned HODs.
- All major stationery items must be procured centrally by HO and supplied to branches.
- For local purchases:
  - Submit Resource Requirement Form to HO.
  - Obtain HO approval before purchase.
  - Confirm fund availability with Accounts and obtain sanction

3.16. Standby Systems

- To obtain a standby system, the concerned executive must email the Stores Department with approval from Sales/Service In-Charge.
- The expected return date of the standby system must be clearly mentioned in the email.

3.17. Scrap Policy

3.17.1. Introduction

This policy defines the standard procedure for identifying, storing, controlling, and disposing scrap materials at Hykon

3.17.2. Definition of Scrap

Scrap includes:

- Finished products that are **non-usable** due to defects or non-conformity with Hykon quality standards.
- Systems/batteries bought back from customers while selling new products.

3.17.3. Identifying Scrap

- QA must inspect products at receipt and during storage.
- If non-conforming products are found, QA records the details.
- If the product cannot be returned to supplier or reworked as per quality policy, it will be classified as scrap with approval as follows:
  - ✓ Up to ₹1,00,000 → Head of QA + Head of Stores + Finance Head
  - ✓ ₹1,00,000 and above →ED/ CMD (based on recommendation of QA Head, Stores Head, and Finance Head)

3.17.4. Buyback Items

- Old products (mainly batteries) taken during new sales are treated as scrap if not suitable for standby use.
- If buyback items are in good condition, they may be reused as standby systems.
- Buybacks are mainly from:
  - ✓ Individual customers
  - ✓ Corporate / Government customers
- Buyback rate for individual customers is as per the approved buyback list.
- Buyback rates for corporate/government customers are decided during tender quotation for new supply.

3.17.5. Control & Storage of Scrap

- **Transfer to Central Stores**
  All scrap identified by QA must be moved to Hykon Central Stores.
  Exception: Scrap may be disposed at the source location or branch only if Stores Head and Finance Head jointly approve that local disposal is more beneficial.

- **If Scrap is from Area WITHOUT Hykon Branch**
  - ✓ Scrap may be disposed of locally if transferring is not economically feasible (with Finance Head approval and Stores Head clearance).
  - ✓ The service manager of the nearest branch must verify the stock.
  - ✓ If financially feasible, the Finance Head and Stores Head may decide to move stock to a nearby branch.

- **If Scrap is from Area WITH Hykon Branch**
  - ✓ Scrap must be stored at the branch.
  - ✓ Daily scrap stock report must be sent to HO.
  - ✓ Scrap should be sent to Central Stores in return vehicles after product delivery.

- **If no return vehicle is available:**
  - ✓ Finance Head and Stores Head must evaluate feasibility of sending separately.
  - ✓ Decision should consider:
    - Scrap value at branch
    - Scrap value at HO
    - Net value after transport cost

- **Inspection at Central Stores**
  - ✓ All scrap received must be checked to see if it can be converted to standby systems.

- ✓ Batteries must be inspected by Quality Supervisor and test charged for 3 cycles.
- ✓ If usable → classify as standby/used battery.
- ✓ If not usable → classify as scrap.

- **Responsibilities**
  1. **Manager – Stores**
     - ✓ Ensure proper storage of scrap.
     - ✓ Conduct periodic physical verification of scrap stock.
     - ✓ Report discrepancies to Finance Head.
     - ✓ Ensure compliance with environmental regulations.
  2. **Finance Head**
     - ✓ Ensure timely system entry for buyback scrap to avoid delay in credit note booking and debt collection issues.

3.17.6. Disposal of Scrap

A. Empanelment of Scrap Buyers

1) Scrap buyers must submit the prescribed empanelment form along with address proof.
2) Manager – Stores can approve and empanel the buyer.

B. Quotation Process

3) Scrap must be shown only to empaneled buyers.
4) Minimum three sealed (concealed) quotations must be collected.
5) Quotations must be opened at a fixed time in the presence of:
   - Manager – Stores
   - Finance Head (or Finance representative nominated by Finance Head)

C. Selection & Approval

6) Highest bidder will be selected.
7) Manager – Stores will conduct final negotiation with the highest bidder.

D. Final approval authority:

a) Disposal value below ₹1,00,000 → Finance Head (based on recommendation of Manager – Stores)
b) Disposal value ₹1,00,000 and above → COO (based on recommendation of Manager – Stores and Finance Head/CFO)

E. Disposal at Locations Other than Central Stores

1. Same quotation procedure must be followed.
2. Manager – Stores will nominate minimum two persons to open quotations.
3. Final negotiation will be done only by Manager – Stores.

F. Reporting

Finance Head must prepare a quarterly Scrap Trading Account in the prescribed format.

4. Sales & Marketing Policy.

- All sales must follow the approved Price List issued by CMD.
- Delivery and payment terms must be clearly mentioned in the Purchase Order.
- Credit commitments must strictly follow the Credit Policy.
- For institutional/government orders, delivery must not be made without a valid Purchase Order

4.1. Demand Forecasting

Demand forecasting is the process of predicting:

- What customers will buy
- How much they will buy
- When they will buy

It can be done using:

- Past sales data (quantitative method), or
- Market assessment/experience (informal method)

Accurate forecasting helps in:

- Production planning
- Inventory control
- Market expansion decisions

4.2. Policy on sales commission

Commission (ORC) is paid as a percentage of sales value for services rendered.

4.2.1. Pre-Approval Process

- Quote must be sent to Finance to verify Gross Profit (GP).
- Finance Head approval must be obtained before offering ORC.

4.2.2. Sanctioning Authority for ORC

- Up to ₹5,000 → GM (L7 Grade A)
- Up to ₹10,000 → VP (L8 Grade C)
- Up to ₹25,000 → ED (L8 Grade B)
- Above ₹25,000 → CMD
- Any ORC where GP is less than 15% → CMD approval mandatory

4.2.3. Disbursement of ORC

- Payment can be processed by Accounts only after:
    - Approval from sanctioning authority
    - Concurrence of Finance Head
- Payment will be made only through bank transfer.
- Commission must be accounted as payable/paid in the same month of invoicing.

4.2.4. TDS on Commission

- 5% TDS with PAN
- 20% TDS without PAN
- Applicable if cumulative commission exceeds ₹15,000 in a financial year.

4.2.5. Payment Conditions

- Commission will be paid only after full payment is received within credit policy.
- For delayed collections, commission will be paid only after adjusting interest loss

4.3. Credit Policy- Channel Products

4.3.1. Distributor

A Distributor stocks products and supplies to dealers.

4.3.2. Appointment

- Appointed for Channel Products: Inverters, Small UPS (up to 5 KVA), Solar Water Heaters, Batteries.
- Minimum one distributor per district (or more, based on requirement).

4.3.3. Sales Limits

- Can sell directly to end customers up to maximum 30% of total sales.

4.3.4. Financial Requirements

- Fixed Security Deposit (based on district & business volume).
- Monthly and yearly sales targets will be fixed.
- Must maintain stock equivalent to minimum 15 days of sales.
- Must have working capital equal to minimum one month's sales.
- No credit facility will be given to distributors.

4.3.5. Dealers

Dealers sell directly to end customers.

- Dealers must maintain a minimum stock of ₹25,000.
- Dealers are developed and supported by the Distributor.
- Credit terms to dealers are decided by the Distributor.
- Direct dealers (appointed directly by company) will not be given credit.

4.3.6. Other Conditions

- Purchase Order is mandatory for all orders.
- For every new distributor/dealer, payment for the first 3 bills must be through RTGS/DD only. Sales person must ensure compliance.
- Distributorship/Dealership becomes valid only after submission of completed dealer form with required documents.
- Security Deposit is mandatory for both distributor and dealer (amount decided at appointment stage).

4.3.7. Deviations

- No deviation without management approval.
- Up to 15% deviation → Can be approved by HOD (at own responsibility).
- Above 15% → Requires approval from Finance Head or CMD.
- Overdue Payments
- Outstanding beyond 30 days will attract 17% p.a. penal interest, calculated monthly and charged accordingly.

4.4. Credit policy - For Selected Channel Sales Partners – TN & Kerala

To improve financial discipline and ensure smooth channel operations, the following credit policy will apply:

4.4.1. Credit Limit & Duration

- Eligible channel partners may receive credit up to 15 days from invoice date.

4.4.2. Post-Dated Cheque (PDC) Requirement

- A physical PDC equal to the invoice value must be submitted at the time of billing.
- The cheque must be couriered to Head Office for security and processing.

4.4.3. Payment & Cheque Presentation

- If payment is not received within 15 days, the PDC will be deposited on the 16th day without further notice.
- Dishonoured cheques will result in:
  - Immediate hold on further dispatches
  - Possible cancellation of future credit facility

4.4.4. Turnover Discount (TOD) Eligibility

- Distributors who delay payment beyond the credit period will not be eligible for TOD for that month.
- Repeated delays may lead to the withdrawal of credit facility.

4.4.5. Interest on Overdue

- Outstanding beyond the permitted credit period will attract 15% interest, calculated for the overdue period.

4.4.6. Compliance & Review

- The policy will be reviewed periodically.
- Hykon reserves the right to modify terms based on distributor performance or market conditions.

4.5. Credit Policy for PE Products

4.5.1. Credit Period

Customer Group	Credit Period (Days)
Corporate	45
Government	60
Institution	30
Dealer	30
Individual	7

4.5.2. Customer Group & Codes

Segment	Code
Corporates	COR
Government	GOV
Dealer	DLR
Individual	IND

4.5.3. Credit Terms

- Credit period must be entered in ERP while creating the customer.
- Sale Order must be raised through ERP (SOM1040) with the correct price class.
- PDC cheque must be collected against supply.

For Dealers

- Credit only for dealers registered through Dealer Account Opening Form.
- Dealer code must be issued by Finance before giving credit.
- Credit limit = 80% of monthly average target.

For Overdue

- Repeat billing for customers with overdue requires approval from:
  - Finance Head + Marketing Head
  - In exceptional cases → ED/CMD
- Further supply must be blocked for overdue customers

4.5.4. Collection

- Collections must follow the company credit policy.
- If customer identity is not reliable, sales must be on cash basis only.
- No cheque / No credit

4.5.5. Discount

- No discount allowed after billing.
- Any committed discount must be adjusted before billing.

4.5.6. Payments

- Regular expenses: Sanctioned by Segment Head / HR as per policy.
- RM, GM & Department Head expenses: Through the Administration Department.
- Irregular expenses (advertisement, exhibition, commission etc.): Finance Head approval on recommendation of Segment Head.
- Supplier payments: Processed by Accounts with Finance Head approval on Purchase recommendation.

4.5.7. Advance

- Office advances: Sanctioned by Branch In-charge / RM; must be settled within 7 days.
- All other advances: Approval from Finance Head / ED

4.5.8. TDS on Payments

- TDS must be deducted as per applicable law:
- Advertisement & contract works (transport, courier, repairs, painting etc.):
  - If single payment > ₹20,000 or yearly total > ₹80,000

- Commission: If payment > ₹5,000
- Rent: If yearly payment > ₹1,80,000
- Salary: As informed by FM based on estimated annual income (deducted monthly).
- Updated TDS rates will be circulated by FM at the beginning of each financial year.

4.5.9. Filing Suits

A. Non-Receivable Cases

- Regional Head must report all non-receivables to Accounts with full details:
  - Reason for non-payment
  - Customer name & address
  - Executive handling the case
  - Cheque details (bounced/PDC, if any)

- Accounts will forward the case to ED
- Management will decide whether to proceed legally based on amount& case details.

B. Approval Authority

- Amount below ₹50,000 → Finance Head / ED approval
- Amount ₹50,000 and above → CMD approval

5. Service Policy

5.1. Scope& Objective

- Provide prompt and timely service at an affordable cost.

5.2. Service Standards:

- Call attending time: Within 8 hours
- Call completion time: Within 10 hours

5.3. Purchasing Tool Kits

- New service technicians/engineers will be provided a tool kit by the company at the time of joining.
- Tool kit replacement will not be allowed within 2 years.
- If replacement is required due to normal wear and tear, the employee must bear 60% of the cost.
- Replacement requires approval from both the Reporting Officer and HOD.
- Tool kits must be audited/verified once a year by the Reporting Officer and reported to the HOD.

5.4. Service Coordination – Branch Level

5.4.1. Call Entry & Monitoring

- All service/installation calls must be entered in ERP (CRM1020/CRM1060).
- Call assignment and status updates must be done in ERP (CRM1808).
- Technicians must update call status through the mobile app.
- HISV will verify service reports and maintain the service call register.
- Pending calls must be reviewed and followed up regularly.

5.4.2. In-House Service & System Movement

- Systems collected from customers must be serviced by Branch In-house Technician.
- Maintain a register for system movement (customer ↔ service center).
- If service is not possible at branch, send to HO Service Centre with proper documents (Service Report, IOM, etc.).

5.4.3. Spares & Warehouse Control

- Minimum spares level at branches will be defined by HO.
- Spares request → ICM1010; Issue to technician → ICM1020.
- Damaged spares collected by the in-house technician.
- All stock movement must be through GC & DC warehouses (technician responsible).
- Spares consumption to be updated via mobile app/CRM1808.
- Monthly warehouse stock report (ICM3464) must be signed by the technician and Service Head and sent to Manager Stores.
- Monthly spares statement (WP/EWP/OWP/AMC + closing stock) to be sent to HISV by 2nd working day.
- Regular moving boards allocated to branches; Service In-charge responsible for monitoring.
- Replaced items must be sent to HO Stores within 3 days.

5.5. System /Battery Replacement in Warranty Period

- Replacement allowed only for manufacturing defects.
- Confirm whether product is under Warranty (WP), Out of Warranty (OWP), or AMC before processing.
- Replacement request → HISV → Purchase Dept.
- Old system must be returned to Purchase Dept in next vehicle/courier.

Note: Replacement allowed only for products within 3 months from the invoice date (manufacturing defect cases).

5.6. Billing

- Service Bill Book issued to each technician.
- Technician must raise the bill immediately after service/AMC confirmation.
- Performa Invoice through Mobile App/ERP (CRM1085–CRM1087 / SOM1116).
- Bill must clearly show service charges, spares, AMC, and tax breakup.
- Red copy of the bill must be submitted to the office next day.
- Bill book must be returned when completed, transferred, or on exit.
- Executive Assistant must maintain a record of issued bill books.

5.7. Collection

- Technician is responsible for collecting the billed amount.
- Collection must be remitted to the office the next day with bill details.
- Receipt must be obtained for all cash remittances.
- No credit for individual/private customers.
- Corporate customers: Maximum 15 days credit.
- Government customers: Maximum 30 days credit.
- Weekly follow-up of receivables by Service In-charge/Service staff.

5.8. Per call Basis – Technicians' Charges

TYPE	PRODUCT	CAPACITY	RATE
BREAK DOWN	INVERTER	ALL	₹ 150
	UPS	UP TO 5KVA	₹ 200
		5 KVA TO 10 KVA	₹ 250
		10 KVA AND ABOVE	₹ 500
	SERVO	ALL	₹ 300

	SWH	ALL	₹ 300
INSTALLATION	INVERTER	ALL	₹ 150
	UPS	UP TO 3 KVA	₹ 200
		5 KVA TO 10 KVA	₹ 250
		10 KVA AND ABOVE	₹ 500
	SERVO	ALL	₹ 300
	SWH	ALL	₹ 300
PM	SYSTEM	UPTO 2 BATTERIES	₹ 100
		UPTO 9 BATTERIES	₹ 120
		10 to 20 BATTERIES	₹ 200
		21 AND ABOVE	₹ 350
	SERVO	ALL	₹ 300
STANDBY	STANDBY	ALL	₹ 100
ESTIMATION	SYSTEM	UPTO 5 KVA	₹ 100
		5 KVA TO 10 KVA	₹ 125
		10 KVA AND ABOVE	₹ 250

5.9. AMC

After completion of Warranty Period (WP), customers can opt for an AMC (Annual Maintenance Contract).

5.9.1. Under AMC:

- Preventive maintenance is done once every 4 months.
- An AMC sticker must be pasted on the system, and service details must be recorded.
- Service Technicians provide both AMC and WP preventive maintenance.
- An AMC Team is formed for smooth execution and monitoring

5.9.2. AMC Team

- AMC Team reports directly to Head – Customer Service.
- AMC Manager/Assistant Managers must achieve AMC targets.

5.9.3. Monitoring & Reporting

- Assistant Manager / Engineer – Customer Support must prepare a weekly AMC Follow-up Report.
- The report must be submitted to Manager – Customer Support for review.
- TA approval will be based on productivity.

5.9.4. Service Records

- AMC/WP Check-up Schedule Registers must be properly updated by:
    - Customer Support Engineer
    - Service Technicians
    - Service In-Charges

5.9.5. Customer Satisfaction

- AMC Team is responsible for maintaining customer satisfaction.
- Each Customer Support Executive must visit major AMC customers once a month.
- Feedback must be reported to HISV.

5.10. Service Center

- Systems that cannot be repaired at branches must be sent to HO Service Centre.
- Assistant Manager – Service leads the Service Centre team.

5.10.1. Repair Timeline

- Hykon make systems/boards → Rectified and returned within 3 days.
- Other make systems → Rectified within 15 days.

5.10.2. Process Control

- An identification sticker must be pasted before entering Service Centre.
- Separate in-charges for:
  - Online UPS
  - Servo Stabilizer
  - Offline UPS & Inverter
- Team Leader assigns work to technicians.
- A Job Card must accompany each system.
- After repair, complete details of work done must be recorded in the Job Card.

5.10.3. Reporting

- Monthly performance report of Service Centre must be sent to HISV.

5.11. Training for Service Persons

5.11.1. For New Recruits

- One month training including:
  - Service Centre training
  - Factory training
  - Field training with senior staff

5.11.2. Annual Training

- Every service person must receive a minimum 8 man-days of training per year.
- Training includes:
  - Technical refreshers
  - New product training
  - Customer handling skills

5.11.3. Evaluation

- Training includes both practical and theoretical tests.
- Feedback must be collected after training.
- Training evaluation will be conducted by HISV.
- Service In-Charges can recommend team members who require additional training.

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